CHAPTER 7

DEPRECIATION PROVISIONS AND RESERVES

CHAPTER ESSENCE AT A GLANCE:
Account for systematic depreciation of tangible fixed assets via Straight Line and Written Down Value methods, maintain asset provisions, and distinguish specific provisions from revenue and capital reserves.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Depreciation Operational Necessity:** Depreciation represents the gradual and continuous allocation of the depreciable cost of a tangible fixed asset over its estimated useful economic life due to wear, tear, and obsolescence.

• **SLM vs WDV Methodologies:** Straight Line Method charges equal annual depreciation based on original cost; Written Down Value Method charges a constant percentage on the diminishing net book value.

• **Provision for Depreciation Protocol:** When a Provision for Depreciation Account is maintained, the asset continues to appear at historical cost in ledger, with accumulated depreciation credited to the provision account.

• **Provisions vs Reserves Dichotomy:** A Provision is a charge against profits to meet a known liability of uncertain amount; a Reserve is an appropriation of profits to strengthen financial standing or meet unknown contingencies.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Annual Depreciation (SLM)} = \frac{\text{Historical Acquisition Cost} - \text{Scrap Value}}{\text{Estimated Useful Life in Years}}$$

Straight Line Method Annual Depreciation

$$\text{SLM Rate of Depreciation} = \frac{\text{Annual Depreciation Amount}}{\text{Total Acquisition Cost of Asset}} \times 100$$

SLM Percentage Depreciation Rate Formula

$$\text{WDV Depreciation Year } t = \text{Book Value at Start of Year } t \times \frac{\text{Rate}}{100}$$

Written Down Value Diminishing Balance Rule

$$\text{Gain or Loss on Asset Sale} = \text{Net Sale Consideration} - \text{Written Down Book Value}$$

Fixed Asset Disposal Realisation Formula

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Installation charges, carriage inward, and registration expenses incurred to make a new machine operational are capitalized as part of the asset cost, never expensed in P&L.

• **Alert:** Under WDV, depreciation is calculated on original cost only in the first year; in subsequent years, it is strictly computed on the diminishing written down value.

• **Alert:** Dividend cannot be paid out of Capital Reserves; dividends can only be distributed from free revenue reserves and current operational profits.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. Define Depreciation. Why is it considered an essential charge against profit? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** The permanent and continuing reduction in the book value of a fixed tangible asset arising from wear and tear, passage of time, or technological obsolescence. **[1 Mark]**

• **Charge Against Profit:** It must be deducted from revenue to ascertain true operational profit and match asset consumption with revenue generation. **[1 Mark]**

2. Distinguish between Straight Line Method (SLM) and Written Down Value Method (WDV) across two key points. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Basis of Calculation:** SLM calculates depreciation on original cost every year; WDV calculates depreciation on the reducing written down book value. **[1 Mark]**

• **Terminal Book Value:** Under SLM, the asset book value can become exactly zero or equal scrap value; under WDV, the asset book value never technically reduces to zero. **[1 Mark]**

3. Explain the difference between a Provision and a Reserve with three clear points of distinction. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Nature:** A provision is a charge against profit; a reserve is an appropriation of undistributed net profit. **[1 Mark]**

• **Purpose:** Provision is created to meet a known liability whose exact amount cannot be determined with substantial accuracy; reserve is created to strengthen financial solvency or fund future expansion. **[1 Mark]**

• **Mandatory Creation:** Creating a provision is compulsory even if the firm incurs a net loss; creating a reserve is voluntary and contingent on having surplus profit. **[1 Mark]**

4. Explain what is meant by a Capital Reserve. State two distinct sources from which capital reserves are created. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Definition:** A reserve created out of capital profits that is not normally available for distribution as cash dividends to shareholders. **[1 Mark]**

• **Source 1:** Profit on sale of fixed assets or long-term investments. **[1 Mark]**

• **Source 2:** Premium received on issue of shares or debentures, and profit on forfeiture and reissue of shares. **[1 Mark]**

5. A machine was purchased on 1st April 2021 for Rs 90,000 and installation costs of Rs 10,000 were incurred. The scrap value is estimated at Rs 10,000 after a useful life of 5 years. Calculate the annual depreciation and the rate of depreciation under SLM. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Total Acquisition Cost:** Purchase Price Rs 90,000 + Installation Rs 10,000 = Rs 1,00,000. **[1 Mark]**

• **Annual Depreciation:** $\frac{Cost Rs 1,00,000 - Scrap Rs 10,000}{5}$ years = Rs 90, $\frac{000}{5}$ = Rs 18,000 per annum. **[1 Mark]**

• **Rate of Depreciation:** (Annual Depreciation Rs 18,000 divided by Total Cost Rs 1,00,000) * 100 = 18 percent per annum. **[1 Mark]**

6. Pass journal entries for depreciation when: (a) Depreciation is charged directly to the Asset Account, (b) Depreciation is transferred to Provision for Depreciation Account. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) Direct Asset Credit:** Debit Depreciation $\frac{A}{c}$ and Credit Asset $\frac{A}{c}$; followed by Debit Profit and Loss $\frac{A}{c}$ and Credit Depreciation $\frac{A}{c}$. **[1.5 Marks]**

• **(b) Provision Protocol:** Debit Depreciation $\frac{A}{c}$ and Credit Provision for Depreciation $\frac{A}{c}$; followed by Debit Profit and Loss $\frac{A}{c}$ and Credit Depreciation $\frac{A}{c}$ (Asset account remains at original cost). **[1.5 Marks]**

7. A company purchased plant on 1st April 2021 for Rs 2,00,000. Depreciation is charged at 10 percent per annum under Written Down Value Method. On 1st October 2023, the plant was sold for Rs 1,40,000. Calculate the profit or loss on sale of plant. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **Year 2021-22:** Depreciation (10 percent on Rs 2,00,000) = Rs 20,000. WDV on 1st April 2022 = Rs 1,80,000. **[1 Mark]**

• **Year 2022-23:** Depreciation (10 percent on Rs 1,80,000) = Rs 18,000. WDV on 1st April 2023 = Rs 1,62,000. **[1 Mark]**

• **Year 2023-24 (6 months to 1st Oct):** Depreciation (10 percent on Rs 1,62,000 × $\frac{6}{12}$) = Rs 8,100. WDV on date of sale = Rs 1,53,900. **[1 Mark]**

• **Loss on Sale:** Book Value Rs 1,53,900 - Sale Price Rs 1,40,000 = Loss on Sale of Plant Rs 13,900 (debited to P&L). **[1 Mark]**